DSEH004 · PERFORMANCE MANAGEMENT AND EMPLOYEE ENGAGEMENT

Balanced Scorecards and Agile Goals

Week 5 · Lecture 1 · Unit I · Kaplan and Norton, the causality critique, measurement dysfunction, and comparing goal systems

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L1 · ROUND 2 COLD CALLS

Three pods will be asked: what does your chosen architecture demand of a manager in an average week?

L1 · COMMIT BEFORE THEORY

If we measure the right things, people will do the right things.

Agree or disagree. Give one example where measuring changed behavior for the worse.

Kaplan and Norton: four perspectives

PERSPECTIVE	QUESTION
Financial	How do we look to shareholders?
Customer	How do customers see us?
Internal process	What must we excel at?
Learning and growth	Can we continue to improve and create value?

The claimed logic runs upward: learning improves processes, which please customers, which produce financial results.

Kaplan and Norton (1992, 1996)

L1 · THE CRITIQUE

Nørreklit (2000): is the causality real?

Logic, not evidence

The links between perspectives are often logical definitions rather than tested cause and effect.

Time lags ignored

Learning investments pay off years later; a quarterly scorecard can punish them.

Nørreklit (2000), Management Accounting Research, 11(1)

Two classic warnings

KERR (1975)

Kerr's folly

Organizations reward A while hoping for B, then wonder why they get A.

CAMPBELL (1979)

Campbell's law

The more a quantitative indicator is used for decisions, the more it is subject to corruption pressure.

Four systems, four theories

SYSTEM	ORIGIN	TIME HORIZON	BEST WHEN
MBO	Drucker	Annual	Stable work, clear roles
OKR	Grove, Doerr	Quarterly	Fast change, stretch wanted
BSC	Kaplan and Norton	Annual with reviews	Strategy needs translating
KPI dashboard	Operations practice	Continuous	Processes are well understood

Planning under uncertainty

CAPPELLI AND TAVIS (2016)

The argument

When work changes quarterly, annual goals become fiction by midyear.

DESIGN CHOICE

The trade off

Frequent resets keep goals relevant but can erode accountability and line of sight.

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